



UNIVERSITY OF CAPE TOWN

SCHOOL OF ECONOMICS

Corporate Finance & Equity Valuations

Sources of Finance (Part 1)

LEARNING OBJECTIVES

After working through this chapter, you should be able to:

- Define the different types of financial markets.
- Explain the role of the Johannesburg Stock Exchange (JSE) in raising finance, including the JSE Interest Rate Market.
- Detail the types of financial institutions.
- Explain the types of financial instruments.
- Understand the pricing of a rights issue
- Distinguish between equity and debt-related instruments.
- Explain criteria by which to evaluate sources of finance.

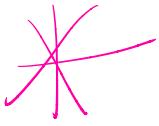
Introduction

- Companies need financing to conduct their operations.
- As such, the financial manager should consider the broad categories of finance to be raised, (i.e. mix of debt and equity) and the costs associated with the sources of financing.
- Finance can be supplied from various sources, with terms and conditions to satisfy the needs of particular investors, and to produce the risk/return relationship required.

Introduction continued

Therefore, in this chapter we wish to answer the following questions:

- What are the markets and institutions through which finance can be raised? *e.g. bank, shares*
- What categories and types of finance are available?
- Which financial instruments are used by companies to raise finance?
- What is the cost of finance taking into account the terms and conditions to meet the needs of investors and the required risk/return relationship?
- How does a company compare debt and equity finance?
low risk, low return
high risk, higher RRR (cost of E)



Financial Markets

- A market place where commodities are traded, sellers have goods to sell and buyers are looking for goods to purchase.
- A transaction is concluded, and goods change hands at a price when the terms of exchange have been agreed on.
- Similar to the trading of other commodities, finance is also traded in the market place.
- There are well-developed markets for the trading of financial assets.

* Classification of financial markets:

- ^{st financing} Money markets
 - ^{LT financing} Capital markets
- } Test 1, make distinction b/w 2
2 marks

MONEY MARKETS

- The money market is used mainly for short-term finance and is mostly carried out over the phone
- It is operated by investment banks, commercial banks and finance houses
- Money markets deal in financial instruments with a life of less than three years

Financial Markets

CAPITAL MARKETS

The Capital Market is used mostly for raising long term finance – e.g.

Johannesburg Stock Exchange (JSE) and ALT^x

- Capital markets are suitable for instruments with a life greater than three years e.g. shares of a company listed on the stock exchange or long-term debentures

* make distinction btwn 2 $\rightarrow$ who gets the money
3 marks

Primary & Secondary Markets

where shares are issued for first time to raise financing

- **Primary markets** are for new issues of finance e.g. - a new listing on new shares

the JSE arising from an offer of shares to the public

money goes to investor

- **A Secondary market** is not a source of finance but it indicates the existing shares

marketability and value of securities already issued e.g. - shares

bought and sold as daily transactions on the stock exchange

Formal Markets

- **Formal markets** , like exchanges, are highly regulated. They specialise in a narrow range of standardised instruments and are accessible to small investors
- Examples of formal exchanges in South Africa are the ***JSE Securities Exchange***, the ***South African Futures Exchange (SAFEX)***, ALT^x, and the **JSE Interest Rate Market (*Bond Exchange of South Africa*)**.

Over-the-Counter (OTC) Markets

- Informal deals on the OTC market are carried out across the desk of interested parties or by using computer terminals and telephones.
- Most exchanges started as OTC markets and became formalised
- There is a need for informal markets as OTC markets permit parties to innovate according to their needs
- Standardised instruments do not need formal exchanges to trade efficiently
e.g. currencies are efficiently traded on the OTC market

Spot & Derivative Markets

- In the SPOT MARKET instruments are traded at the agreed price immediately *(on the spot)*
- In **DERIVATIVE MARKETS** settlement is deferred
 - Derivatives are used to manage risk
 - Flexible, Low cost, Leverage, Liquidity
- **Exchange traded derivatives:**
call - you don't have, but wish to have something
 - Options and warrants are traded on the JSE and futures and options are traded on SAFEX.
 - Standardised contracts, *or 1 calculated daily* marking to market and high levels of liquidity.
- **Non-exchange traded derivatives**
 - Negotiated and customised, non-standardised, not traded on an exchange. Examples are forward contracts, forward rate agreements (FRA's) and swaps

43:40

Interaction Between Market Classifications

- The classifications of markets described above are ***not mutually exclusive***. For example, if you sold 1000 Barloworld shares, this transaction could be classified into the following markets:
 - capital – the shares are long-term instruments;
 - secondary – you get the money and the buyer gets the shares (Barloworld is not involved in the deal)
 - spot – you get the money and deliver the scrip immediately;
 - formal – you sold your shares through your broker who traded them on the JSE.

The role of the JSE

JSE listing enables companies and management to:

- issue shares and raise primary capital to finance business expansion;
- ensure there is a secondary market for the trading of shares so that investors can buy and sell securities;
- monitor the performance of the company as measured by movements in its share price;
- offer employees share incentives and share options;
- enhance the public profile of the company;
- borrow loan finance from the banks at improved rates;
- improve the disclosure to its shareholders and ensure that the market is aware of developments, operations and financial results;
- finance the acquisition of other unlisted or listed companies by issuing shares in the company to the selling shareholders; and
- enter into share buy-backs if the company does not require further capital.
- It is important for the JSE to ensure that there is a liquid market, and that it offers protection to investors in the form of fair and equal treatment, and that there is proper and timely disclosure.



50:20

Rights Issues

- Company raises capital by inviting existing shareholders to buy more shares in the company
- Proportionate ownership remains constant if all shareholders take up their rights
- Issue price at a discount to current listed price
- Example
 - Co. has 9m shares in issue. The current price is R6 and the company wishes to raise R5m. The Co. plans to issue 1m shares at R5. What is the value of a right?
 - What is value of the company after the rights issue?

$$\begin{array}{rcl} 9m \times R6 & = & 54m \\ 1m \times R5 & & 5m \\ \hline 10 & & 59m \end{array}$$



Valuation of Rights Issues

- What is the expected value of the shares after the rights issue?

	No. of shares		Price		R
Existing	9,000,000	x	6.00	=	54,000,000
New	1,000,000	x	5.00	=	5,000,000
	<u>10,000,000</u>				<u>59,000,000</u>
Theoretical value of shares after the rights issue				=	59,000,000
					<u>10,000,000</u>
				=	5.90

- value of each right is = theoretical share value post issue - subscription price

Thus, Value of a right = 5.90 – 5.00 = R0.90

- What is the **signalling effect** of a rights issue?



fin. distress to market
there could be issues because why are they offering them on discount?

Valuation of Rights Issues

- Alternatively, the value of a Rights Issue could be stated as follows:

- Value of a Right = $\left[\frac{\text{Market price} - \text{Subscription Price}}{1+R} \right]$ where R is the rights ratio

$$\text{Value of a Right} = \left[\frac{6 - 5}{1 + 1/9} \right]$$

Value of a rights issue = R0.90

Valuation of Rights

Alternatively, the value of a right may be stated as follows;

$$\text{Value of right} = \left[\frac{N(Mc - S)}{N + 1} \right]$$

Where,

N = number of shares required to acquire 1 right

Mc = market price per share

S = subscription price per share

$$= \left[\frac{9(6.00 - 5.00)}{10} \right]$$

$$\text{Value of right} = 0.90$$